IN THE NATIONAL COMPANY LAW TRIBUNAL, AHMEDABAD
COURT - 2

ITEM No301

CP(CAA)/18(AHM)2023
in
CA(CAA)/66(AHM)2022

Order under Sections 230-232 of Co. Act, 2013

IN THE MATTER OF:

Famy Life Science Private Limited **.....Applicants**
Famy Pharma Private Limited

Order delivered on 07/08/2023

Coram:

Mr. Shammi Khan, Hon'ble Member(J)
Mr. Ajai Das Mehrotra, Hon'ble Member(T)

ORDER

The case is fixed for pronouncement of order. The order is pronounced in open Court vide separate sheet.

-Sd-

AJAI DAS MEHROTRA
MEMBER (TECHNICAL)

-Sd-

SHAMMI KHAN
MEMBER (JUDICIAL)

THE NATIONAL COMPANY LAW TRIBUNAL
AHMEDABAD BENCH
COURT-II

CP (CAA)/18/NCLT/AHM/2023
in
CA(CAA)/66/NCLT/AHM/2022

[Under Sections 230-232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016]

In the Matter of Scheme of Arrangement

between

Famy Life Sciences Private Limited
(Petitioner Company No.1/ Demerged Company)

and

Famy Pharma Private Limited
(Petitioner Company No.2/ Resulting Company)

and
Their respective shareholders and creditors

Order Pronounced on : 07.08.2023

Coram:
Mr. Shammi Khan,
Hon'ble Member (Judicial)

Mr. Ajai Das Mehrotra
Hon'ble Member (Technical)

MEMO OF PARTIES

Famy Life Sciences Private Limited
[CIN: U40109GJ2008PTC109640]

A company incorporated under the provisions of the Companies Act, 1956, having its registered office at: 802, Narnarayan Complex, Opp. Navrangpura Post Office, Navrangpura, Ahmedabad - 380 009, Gujarat

… Petitioner Company No.1/ Demerged Company

With

Famy Pharma Private Limited
[CIN: U73200GJ2022PTC135317]

A company incorporated under the provisions of the Companies Act, 2013, having its registered office at: 802, Narnarayan Complex, Opp. Navrangpura Post Office, Navrangpura, Ahmedabad – 380 Gujarat.

… Petitioner Company No.2 / Resulting Company

For the Petitioners : Mr. Navin Pahwa, Sr. Advocate along with Mr. Ravi Pahwa, Advocate.

For the Income Tax : Ms. Pankti Shah, Advocate.

O R D E R

1. This joint Company Petition has been filed by the Petitioner Companies under Sections 230 and 232 of the Companies Act, 2013 ("**Act**") read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 seeking sanction of the Scheme of Arrangement between M/s. Famy Life Sciences Private Limited (Demerged Company) with Famy Pharma Private Limited (Resulting Company) and their respective shareholders and creditors ("**Scheme**").

2. The Scheme *inter alia* provides for the demerger, transfer and vesting of the Demerged Undertaking of the Demerged Company pertaining to the Demerged Business, as of the Appointed Date from the Demerged Company into the Resulting Company on a *going concern basis* and the consequent issues of shares by the Resulting Company.

   The Demerged Business is defined in the Scheme as *"all business and assets of the Demerged Company other than the Remaining Business and includes t*he *Non-ophthalmic, NCE, generic and complex generic pharmaceutical product and trading businesses, carried out directly by the Demerged Company or through its subsidiaries, pertaining to : (i) development and commercialization of new / novel non-ophthalmic chemical entities directly or through development partners: (ii) generic and complex generic pharmaceutical product development including development of intellectual property (IP) for such developed products, and commercialization either by itself or through*

marketing partners(s); and (iii) trading of pharmaceutical, nutraceutical and other products."

The said Scheme also provides for various other matters consequent and incidental thereto.

3. The rationale of the Scheme of Arrangement stated in the proposed Scheme is as under: -

i. Create opportunities to participate separately in the respective businesses through separate operations, decision-making process and core competencies;

ii. Allow the product concepts/products of each of the underlying businesses to be better marketed to potential customers;

iii. Value unlocking of the respective products and businesses of the Demerged Company and the Resulting Company based on respective risk return;

iv. Enabling separate and focused growth strategy for each of the businesses for exploiting opportunities specific to each business; and

v. Focused management approach for pursuing revenue growth and expansion opportunities in the respective businesses verticals including fund raising, etc.

4. An Affidavit in support of the Company Petition has been sworn by Mr. Shrenik Shah, Authorized Signatory of the Demerged

Company and Mr. Sunil Kedia, Authorised Signatory of the Resulting Company and the same is annexed to the Company Petition. The abovenamed Authorized Signatories for the Petitioner Companies have been authorized *vide* Board Resolution dated 08.11.2022 passed by the Petitioner Companies.

5. From the records, it is seen that the first motion application was filed before this Tribunal, being CA (CAA) 66 of 2022, which sought dispensation of the meetings of the Equity Shareholders of the petitioner companies and the Unsecured Creditors of the Resulting Company, in view of the consent affidavits of the Equity Shareholders of the Petitioner Companies and the Unsecured Creditors of the Resulting Company. Since there were no Preference Shareholders, Secured and Unsecured Creditors in the Demerged Company and no Preference Shareholders and Secured Creditors in the Resulting Company, meetings of the Preference Shareholders, Secured and Unsecured Creditors of the Demerged Company and meetings of the Preference Shareholders and Secured Creditors of the Resulting Company were not required. The aforesaid application was allowed vide order dated 06.03.2023, by issuing directions for notices to the Regulatory and Statutory Authorities, viz., the Regional Director (RD), North Western Region, the Registrar of Companies (RoC), Gujarat, the Income Tax Department and the Reserve Bank of India (RBI). The directions issued by the aforesaid order were duly complied with by the petitioner companies. The affidavit of service is

annexed with the second motion petition as Annexure-L (page No. 238).

6. The Petitioner Companies had filed second motion joint petition being CP (CAA) 18 of 2023 before this Tribunal seeking sanction of the Scheme (e-filed on 18.03.2023 and physical copy thereof was filed on 20.03.2023) which was admitted vide order dated 24.04.2023. Directions were issued to publish notice of hearing of Petition in the newspapers, "Indian Express" in English and "Sandesh" in Gujarati both in Ahmedabad editions and to serve notice of hearing of the Petition to the Regional Director, the Registrar of Companies, the Official Liquidator and the Income Tax Department.

7. The Petitioner Companies have filed a Company Application bearing Comp. appl. 8 of 2023 in CA No.66 of 2022 with this Tribunal seeking minor rectifications in the order of this Tribunal dated 24.04.2023 with regard to notice issued to Official Liquidator and date of final hearing of Company Petition. The prayers made in the said application are as follows:-

   a. *"Paragraph 2 of the said Order, serving notice to the Official Liquidator about the date of hearing, from the said Order be deleted; and*

   b. *The words "List for hearing on 19.05.2022" has to be rectified to "List for hearing on 19.05.2023."*

On 16.05.2023, this Tribunal has allowed the said Company Application filed by the Petitioner Companies and directed the Petitioner Companies to not serve notice upon the Official Liquidator, attached to the Hon'ble High Court of Gujarat, Ministry of Corporate Affairs and directed the Registry to list the matter for final hearing on 19.05.2023.

8. The directions issued vide order dated 24.04.2023 were complied with and compliance affidavit dated 09.05.2023 has been filed this Tribunal on 10.05.2023.

9. In response to the notice served upon the Regional Director (RD), the RD has filed representation dated 28.04.2023 on 09.05.2023, along with report from the Registrar of Companies (RoC) dated 31.03.2023. Their observations are as follows:

i) That the reason for not allotting the shares to Mylan Pharmaceuticals Inc. (foreign body corporate) even after the holding of the said Foreign Body Corporate in the Demerged Company is approx. 13. 51% (i.e. 1,56,250 no. of equity shares), is not clarified in the Scheme of Demerger that as to why the company is not allotting the shares only to the Mylan Pharmaceuticals Inc. (foreign body corporate) out of all the shareholders.

This Tribunal may, therefore, be pleased to direct the petitioner companies to place on record all the relevant facts of the matter for not allotting the shares to Mylan Pharmaceuticals Inc. (foreign body corporate).

ii) In para-2 (c), the RD has observed as under:-

That, as per the information provided by the petitioner companies vide letter dated 20.4.2023, the demerged company have 13 shareholders including Mylan Pharmaceuticals Inc. (foreign body corporate) with total No. of shares 11,56,589 as on appointed dated i.e. 01.01.2023. Thereafter, No. of shares 9,99,182 have been transferred to Mylan Pharmaceuticals Inc. (foreign body corporate) and 55,908 No. of shares allotted on owned subsidiary of Mylan, Pharmaceuticals Inc. (foreign body corporate), but still no shares were going to be issued to the said Foreign Body Corporate as in the scheme it is mentioned that the shares were issued to the shareholders whose name appears in the register of members of the company on Record Date.

Further, as per para 1.15 & 1.2 under definitions clause, the "Record Date" means the Appointed Date and "Appointed Date means opening business hours of 1 January 2023 or such other date as may be decided by the Board of the Parties. It means, door is open for Board of the Director/ Parties to decide other appointed date.

In view of the change in shareholding pattern of demerged company after appointed dated ie 01.01.2023, the board of Director/ Parties may not allowed other appointed date subsequent to date of transfer of shares to Mylan Pharmaceuticals Inc. (foreign body corporate), as if there is any change in appointed date than the shareholders to whom the shares are going to be issued is also changed, which is not justifiable in the eyes of law for the shareholders whose name was appearing in the register of members on the Record Date:

In view of the facts mentioned above, the Hon'ble NCLT may therefore be pleased not allow other appointed date subsequent to date of transfer of shares to Mylan Pharmaceuticals Inc. (foreign body corporate) and direct

the petitioner companies to place on record all the relevant facts of the matter.

iii) *To direct the petitioner companies to undertake the compliance of Section 2 (19AA) of the Income Tax Act in the matter, since this is a scheme of demerger.*

iv) *To direct the petitioner companies to submit the complete list and full details of assets and liabilities which are proposed to be transferred to the Resulting Company through this Scheme.*

v) *To direct the Demerged Company to ensure about the compliances of FEMA and RBI guidelines.*

vi) *To direct the petitioner company to preserve its books of accounts, papers and records and shall not be disposed of without prior permission of Central Government as per provision of Section 239 of the Companies Act, 2013.*

vii) *To direct the petitioner companies to ensure statutory compliance of all applicable laws and also on sanctioning of the present Scheme, the petitioner companies shall not be absolved from any of its statutory liabilities, in any manner.*

viii) *Necessary Stamp Duty on transfer of property / assets, if any, is to be paid to the respective Authorities before implementation of the Scheme.*

ix) *This Tribunal may direct the company involved in the scheme to comply with the provisions of Section 232(5) of the Companies Act, 2013 with respect to filing of certified copy of order sanctioning the scheme with Registrar of Companies within 30 days from date of passing order.*

x) *This Tribunal may be pleased to direct the Petitioner companies to pay the legal fees/cost to the Central Government which may be considered appropriate by this Tribunal.*

10. The Petitioner Companies have filed a joint affidavit in reply dated 12.05.2023 on 17.05.2023 in response to the observations made by the Regional Director and the Registrar of Companies. It has been submitted in response to the aforesaid observations, as follows;

i) With regard to observation stated by the Regional Director in Paragraph 2(b) of the RD Report is concerned, the Petitioner Companies submit that, upon the Scheme becoming effective, the Second Petitioner Company shall issue its shares to all the shareholders (*except Mylan Pharmaceuticals Inc.*) of the First Petitioner Company as on the Record Date in the manner specified in Clause 8 of the Scheme. The Petitioner Companies further submit that, Mylan Pharmaceuticals Inc. commercially does not wish to participate in the Demerged Business being demerged to the Second Petitioner Company and therefore, the equity shares of the Second Petitioner Company are not allotted to Mylan Pharmaceuticals Inc. pursuant to the Scheme. The consent affidavit received from Mylan Pharmaceuticals Inc. as a shareholder of the First Petitioner Company approving the Scheme is annexed to the Company Application No. CA(CAA)/66/NCLT/AHM/2022. A copy of the said consent affidavit issued by Mylan Pharmaceuticals Inc. is annexed with the petition as Exhibit A for ready reference.

ii) With regard to observation stated by the Regional Director in Paragraph 2(c) of the RD Report is concerned, the

Petitioner Companies submit that the Appointed Date of the Scheme means opening business hours of January 1, 2023 and the Second Petitioner Company undertakes to issue its shares to the shareholders (*except Mylan Pharmaceuticals Inc.*) of the First Petitioner Company as on opening business hours of January 1, 2003 i.e. Appointed Date.

iii) The Scheme is in compliance with the provisions of Section 2(19AA) of the Income-Tax Act, 1961.

iv) The list of assets and liabilities pertaining to the Demerged Undertaking proposed to be transferred to the Second Petitioner Company will be filed with the Registry of the Hon'ble Tribunal for annexing it as part of the order sanctioning this Scheme.

v) The Petitioner Company No.1 will comply with the guidelines issued by the Reserve Bank of India and Foreign Exchange Management Act, 1999 to the extent applicable.

vi) The petitioner companies will pay the requisite legal fees / cost to the Regional Director as per the directions issued by the Hon'ble NCLT.

vii) That none of the petitioner companies are getting dissolved pursuant to the Scheme and the petitioner companies undertake to preserve their respective books of accounts, papers and records and the same shall not be disposed off without the prior permission of the Central Government as

required under Section 239 of the Companies Act, 2013.

vii) The petitioner companies will ensure compliance of applicable laws and sanctioning of the Scheme by the Hon'ble Tribunal will not absolve the Petitioner Companies from any of its statutory liabilities in any manner.

viii) The petitioner companies undertake to file a certified copy of the Order and the Scheme with the Registrar of Companies concerned, electronically, along with Form INC-28 within 30 days from the date of issuance of the certified copy of the Order and the Scheme by the Hon'ble Tribunal as per relevant provisions of the Act.

11. In response to the notice served upon the Income Tax Department, the Asst. Commissioner of Income Tax Circle-2 (1)(1), Ahmedabad, has submitted its report dated 27.04.2023 on 28.04.2023 stating that the assesse Famy Pharma Private Limited, PAN: AAFCF2141M whose jurisdiction lies with his office has been allotted PAN on 12.09.2022 and no return has been filed by the assesse till date.

12. During the hearing on 13.06.2023, Ms. Pankti Shah, Ld. Counsel for the Income Tax department stated that there are outstanding demands in the case of Famy Life Science Private Limited (Demerged Company) and that no returns have been filed by Famy Pharma Private Limited (Resulting Company). Mr. Navin Pahwa, Ld. Sr. Counsel for the petitioner companies stated that since both the companies will survive, the income

tax dues shall be paid as per law. Subject to the statement of the Ld. Sr. Counsel for the petitioner companies, the learned counsel for the Income tax department stated that she has no objection to the approval of the scheme. However, the Income Tax Department reserves its rights to determine the tax implications of the demerger under the Scheme in accordance with provisions of the Income-tax Act, 1961.

13. In response to the notice served upon the Reserve Bank of India (RBI), a letter dated 22.03.2023 was received from RBI on 22.03.2023 wherein it is stated as under:-

"*.....it is the duty of the companies undergoing compromise/ arrangement/ amalgamation / reduction to comply with the requirements of various laws including the rules, regulations and guidelines prescribed by RBI, viz. the companies may have to comply with Foreign Exchange Management Act, 1999, and the rules and regulations made thereunder. It is also submitted that as a Regulator it will not be ethical on the part of RBI to vet individual cases, as it will preclude it from taking action on contraventions, if any, committed by such companies.*"

The Petitioner Companies in its reply to RD/RoC dated 12.05.2023 have already undertaken to comply with the guidelines issued by RBI and Foreign Exchange Management Act, 1999.

14. The Petitioner Companies have placed on record the Valuation Report obtained from Mr. Raj Pradip Shroff, Registered Valuer,

having Reg. no. IBBI/RV/05/2019/11263, recommending the share exchange ratio.

15. An affidavit sworn by Mr. Shrenik Shah and Mr. Sunil Kedia, Authorised Signatories of the First Petitioner Company and the Second Petitioner Company respectively, has been filed with the Hon'ble Tribunal stating that, no investigation proceedings are pending against Petitioner Companies under Section 210 to 227 of the Act and no winding up petition are pending against the Petitioner Companies.

16. In compliance with the proviso to sub-section (7) of Section 230 of the Act, the Petitioner Company No.1 and the Petitioner Company No.2 have placed on record the Certificates of their Statutory Auditors dated 02.01.2023 and 03.01.2023 respectively, confirming that the accounting treatment envisaged under the Scheme is in compliance with the applicable accounting standards notified by the Central Government under Section 133 of the Companies Act.

17. The schedule of properties of the Demerged Undertaking is produced on record.

18. We had sought following clarification from the petitioners on 01.08.2023:-

"*On perusal of the record, it is observed that the petitioner companies submitted that Mylan Pharmaceuticals, one of the shareholders of the Demerged Company, has decided not to take new shares in exchange of shares of the*

Demerged Undertaking from the Resulting Company. However, no evidence has been given that the said shareholder is willing to give up its claim for new shares of the Resulting Company".

19. The matter was further listed for clarification on 04.08.2023. Mr. Shrenik Shah, the Authorized Signatory of the Petitioner Companies filed an affidavit dated 03.08.2023 on 04.08.2023 along with a letter dated 01.08.2023 of Mylan Pharmaceuticals Inc. In para-3 and 4 of the aforesaid letter, it is stated as under:-

"3. *I further state that, the Company is aware that, in terms of Clause 8.1 of the Scheme, no shares will be issued by the Resulting Company to the Company for demerger of the Demerged Undertaking (as defined in the Scheme) from the Demerged Company into the Resulting Company.*

4. *I further state that, the Company has already provided its consent to the Scheme by way of duly executed, notarized and apostilled affidavit dated November 9, 2022, which has been placed on record with the Hon'ble National Company Law Tribunal, Ahmedabad Bench ("Tribunal") as part of the Company Application No. CA (CAA) No.66/NCLT/AHM/2022".*

20. We have heard Mr. Navin Pahwa, Ld. Sr. Counsel for the Petitioner Companies and have also gone through the records including the clarification affidavit dated 03.08.2023.

21. On the basis of above facts and submissions made by the Ld. Sr. Counsel and by considering the approval accorded by the shareholders and creditors of the Petitioner Companies to the

proposed Scheme, and the no objection/reports of the respective Regulatory and Statutory Authorities, it appears that the requirements of the provisions of Sections 230 to 232 are satisfied by the Petitioner Companies. It seems that the proposed Scheme of Arrangement is bona fide and in the interest of the shareholders and creditors. Therefore, petition is allowed and the Scheme of Arrangement between M/s. Famy Life Science Pvt. Ltd. ("Demerged Company"), and M/s. Famy Pharma Pvt. Ltd. ("Resulting Company) is hereby sanctioned. It is declared that the said sanctioned Scheme shall be binding on the petitioner companies and their shareholders, creditors and all concerned under the scheme.

22. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Hon'ble Tribunal to the Scheme will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the Petitioner Companies.

23. While approving the Scheme as above, we further clarify that this order should not be construed as an order in any manner granting exemption from payment of stamp duty, or taxes including income tax, GST etc., or any other charges or payment in accordance with law, or any kind of waiver in respect of any permission / compliance with any other requirement which may be specifically required under any law.

24. It is further clarified that Income Tax Department will be free to examine the aspect of any tax payable as a result of the sanction of the Scheme and sanction of the Scheme of arrangement given hereunder shall not adversely affect the rights of Income Tax Department on any past, present or future proceedings.

25. The Scheme is sanctioned with following directions:

i) The Scheme of Arrangement as annexed herewith as "Annexure-A" is hereby sanctioned and it is declared that the same shall be binding on the Petitioner Companies and their Shareholders and Creditors and all concerned under the Scheme.

ii) Consideration

8.1 Upon the Scheme coming into effect and in consideration of and subject to the provisions of this Scheme, the Resulting Company shall, without any further application, act, deed, consent, acts, instrument or deed, issue and allot, on a proportionate basis to each shareholder of the Demerged Company (except Mylan Pharmaceuticals Inc.) whose name is recorded in the register of members of the Demerged Company as on the Record Date, as under:

"1 (One) fully paid-up equity share of face value of Rs. 10 (Rupees Ten only) each of the Resulting Company for every 1 (One) fully paid-up equity share of Rs.10 (Rupees Ten only) each held in the Demerged Company"

*The equity shares of the Resulting Company to be issued pursuant to Clause 8.1 shall be referred to as "**Resulting Company New Equity Shares".***

8.2 The Resulting Company New Equity Shares to be issued pursuant to Clause 8.1. above shall be subject to the provisions of the memorandum of association and articles of association of the Resulting Company, as the case may be, and shall rank pari passu in all respects with any existing equity shares of Resulting Company, as the case may be, after the Effective Date including with respect to dividend, bonus, right shares, voting rights and other corporate benefits attached to the equity shares of the Resulting Company.

8.3 The issue and allotment of Resulting Company New Equity Shares, is an integral part hereof and shall be deemed to have been carried out under the orders passed by the Tribunal without requiring any further act on the part of the Resulting Company or the Demerged Company or their shareholders and as if the procedure laid down under the Act and such other Applicable Laws as may be applicable were duly complied with. It is clarified that the approval of the shareholders of the Resulting Company and/or the Demerged Company to this Scheme, shall be deemed to be their consent/approval for the issue and allotment of Resulting Company New Equity Shares.

8.4 Subject to Applicable Laws, the Resulting Company New Equity Shares that are to be issued in terms of this Scheme shall be issued in physical or dematerialized form. The register of members maintained by the Resulting Company and/ or other relevant records, whether in physical or electronic form, in terms of Applicable Laws shall (as deemed necessary by the Board of the Resulting Company) be updated to reflect the issue of Resulting Company New Equity Shares in terms of this

Scheme.

8.5 Subject to 8.1 above, in the event of there being any pending share transfers, whether lodged or outstanding, of any shareholder of the Demerged Company, the Board of the Demerged Company shall be empowered in appropriate cases, prior to or even subsequent to the Effective Date, to effectuate such a transfer as if such changes in the registered holder were operative as on the Effective Date, in order to remove any difficulties arising to the transferor or transferee of shares in the Demerged Company, after effectiveness of the Scheme.

8.6 The Resulting Company New Equity Shares to be issued pursuant to this Scheme in respect of any shares of the Demerged Company which are held in abeyance under the provisions of Section 126 of the Act or otherwise shall pending allotment or settlement of dispute by order of Court or otherwise, be held in abeyance by the Resulting Company.

8.7 In the event, the Demerged Company and/ or the Resulting Company restructure their equity share capital by way of share split/ consolidation/ issue of bonus shares during the pendency of the Scheme, the share entitlement ratio, per Clause 8.1 above shall be adjusted accordingly, to consider the effect of any such corporate actions.

8.8 The Resulting Company shall, to the extent required, increase its authorized share capital in order to issue Resulting Company New Equity Shares, as per with the applicable provisions of the Act, prior to allotment of Resulting Company New Equity Shares.

iii) All licenses, permissions, permits, approvals, certificates, clearances, authorities, leases, tenancy, assignments, rights, claims, liberties, special status, other benefits or privileges and any power of attorney relating to the Demerged Undertaking shall stand transferred to and vested in the Second Petitioner Company, without any further act or deed. The Second Petitioner Company shall be bound by the terms thereof, the obligations and duties thereunder, and the rights and benefits under the same shall be available to the Second Petitioner Company.

iv) All the liabilities and duties of the Demerged Undertaking be transferred, without further act or deed, to the Resulting Company and accordingly the same shall pursuant to Sections 230 & 232 of the Act, be transferred to and become the liabilities and duties of the Resulting Company.

v) All contracts, agreements, insurance policies, bonds and all other instruments of whatsoever nature or description, of the Petitioner Company No.1 in respect of the Demerged Undertaking, shall stand transferred to and vested in the Resulting Company and be in full force and effect in favour of the Resulting Company and may be enforced by or against it as fully and effectually against the Resulting Company.

vi) All taxes paid or payable by the Petitioner Company No.1 pertaining to the Demerged Undertaking including existing and future incentives, unavailed credits and exemptions, benefit of carried forward losses and other statutory benefits, to which shall be available to and vest in the Resulting Company. The tax liability of the Demerged Undertaking shall become liability of the Resulting Company and any proceedings against the Demerged Undertaking shall continue against the Resulting Company.

vii) All proceedings now pending by or against the Petitioner Company No.1 in respect of Demerged Undertaking shall be continued by or against the Resulting Company.

viii) All employees in the service of the Petitioner Company No.1 pertaining to the Demerged Undertaking shall be deemed to have become the employees and the staff of the Resulting Company on the basis that their services shall be deemed to have been continuous and not having been interrupted by reasons of the said transfer and on the terms and conditions no less favourable than those on which they were / are engaged.

ix) The Petitioner Companies are further directed to file certified copy of this order along with the copy of the Scheme with the concerned Registrar of Companies, electronically, *vide* e-form INC-28 within 30 days from the date of issuance of the certified copy of the Order by the Registry as per relevant provisions of the Act.

x) The Petitioner Companies are directed to lodge a certified copy of this Order and along with the Scheme, with the concerned Superintendent of Stamps, for adjudication of stamp duty, and pay requisite stamp duty payable, if any, within 60 days from the date of this Order.

xi) The legal fees and expenses of the office of the Regional Director is quantified at Rs.10,000/- in respect of the petitioner companies. The said fees to the Regional Director shall be paid by the Resulting Company.

xii) The Income Tax Department will be free to examine the aspect of any tax payable as a result of the sanction of the Scheme and if it is found that the Scheme of Arrangement ultimately results in tax avoidance or is not in accordance with the applicable provisions of

Income Tax Act, then the Income Tax Dept. shall be at liberty to initiate appropriate course of action as per law. Any sanction of the Scheme of Arrangement under Sections 230-232 of the Companies Act, 2013 shall not adversely affect the rights of Income Tax Department or any past, present or future proceedings and the sanction of the scheme shall not come in its way for the appropriate course of action as per law for the tax liabilities, if any.

xiii) Any person aggrieved shall be at liberty to apply to the Hon'ble Tribunal in the above matter for any direction that may be necessary.

26. The Company Petition CP(CAA) No. 18 of 2023 connected with CA(CAA) No. 66 of 2022 is disposed of, in terms of above order.

-Sd-

AJAI DAS MEHROTRA
MEMBER (TECHNICAL)

-Sd-

SHAMMI KHAN
MEMBER (JUDICIAL)

Sudha-Steno/ Arati-LRA

Annexure - A

Annexure-I

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SCHEME OF ARRANGEMENT

BETWEEN

FAMY LIFE SCIENCES PRIVATE LIMITED

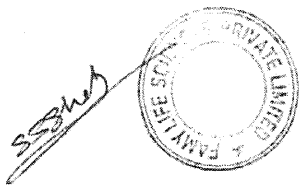
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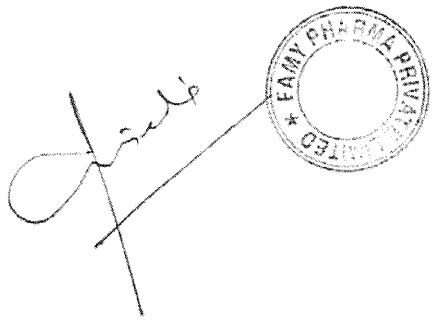
FAMY PHARMA PRIVATE LIMITED

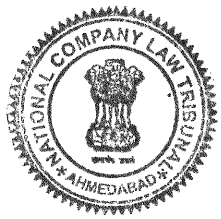
AND

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

UNDER SECTIONS 230 TO 232 AND OTHER APPLICABLE PROVISIONS OF THE COMPANIES ACT, 2013







A. BACKGROUND OF THE COMPANIES

1. Famy Life Sciences Private Limited ("Demerged Company") is a private company incorporated under the provisions of the Companies Act, 1956. The Demerged Company is engaged in the following businesses (directly and / or through its subsidiaries):

(A) **Ophthalmic NCE / 505b2 business pertaining to:**

Development and commercialization of new/novel ophthalmic chemical entities or highly differentiated 505b2 pharmaceutical products, directly or through subsidiaries

(B) **Non-ophthalmic NCE, generic and complex generic pharmaceutical product and trading businesses pertaining to:**

(i) Development and commercialization of new/novel non-ophthalmic chemical entities, directly or through subsidiaries or development partners;
(ii) Generic and complex generic pharmaceutical product development including development of intellectual property (IP) for such developed products, directly or through its subsidiary, and commercialization either by itself or through marketing partner(s); and
(iii) Trading of pharmaceutical, nutraceutical and other products

2. **Famy Pharma Private Limited ("Resulting Company")** is a private company incorporated under the provisions of the Act (*as defined hereinafter*). The Resulting Company is incorporated for the purpose of conducting the business of:

(i) Development and commercialization of new/novel non-ophthalmic chemical entities, directly or through development partners;
(ii) Generic and complex generic pharmaceutical product development including development of intellectual property (IP) for such developed products, directly or through its subsidiary, and commercialization either by itself or through marketing partner(s); and
(iii) trading of pharmaceutical, nutraceutical and other products.

B. PREAMBLE

1. This Scheme (*as defined hereinafter*) is presented under Sections 230 to 232 and other applicable provisions of the Act read with Section 2(19AA) and other applicable provisions of the Income Tax Act (*as defined hereinafter*) and provides for the demerger, transfer and vesting of the Demerged Undertaking *(as defined hereinafter)* from the Demerged Company into the Resulting Company on a *going concern* basis and the consequent issue of shares by the Resulting Company.

2. This Scheme also provides for various other matters consequent and incidental thereto.

C. RATIONALE FOR THIS SCHEME

1. Over the years the Demerged Company has been engaged in various businesses and has been aggressively expanding its footprint in all of them on best effort basis. The Demerged Company realizes that its: (i) Ophthalmic NCE / 505b2 business; and (ii) Non-ophthalmic NCE, generic and complex generic pharmaceutical product and trading business, are divergent in nature. Accordingly as part of an overall strategy for the optimum running, growth and development of these businesses of the Demerged Company, it is considered desirable and expedient to reorganise the business of the Demerged Company by demerging its Demerged Undertaking to the Resulting Company. This will result in the creation of two separate robust entities viz., the Resulting Company focusing exclusively on the Demerged Business and the Demerged Company shall continue with the Remaining Business.

2. The proposed Scheme is expected, *inter alia*, to result in the following benefits;

(i) Create opportunities to participate separately in the respective businesses through separate operations, decision-making process and core competencies;

(ii) Allow the product concepts / products of each of the underlying businesses to be better marketed to potential customers;

(iii) Value unlocking of the respective products and businesses of the Demerged Company and the Resulting Company based on respective risk return;

(iv) Enabling separate and focused growth strategy for each of the businesses for exploiting opportunities specific to each business; and

(v) Focused management approach for pursuing revenue growth and expansion opportunities in the respective businesses verticals including fund raising, etc.

D. **PARTS OF THIS SCHEME**

This Scheme is divided into the following parts:

(i) **PART I** deals with the definitions, share capital of the Parties (*as defined hereinafter*) and date of taking effect and implementation of this Scheme;

(ii) **PART II** deals with the demerger, transfer and vesting of the Demerged Undertaking from the Demerged Company into the Resulting Company on a *going concern* basis, the consequent issue of shares by the Resulting Company; and

(iii) **PART III** deals with the general terms and conditions that would be applicable to this Scheme.

PART I
DEFINITIONS AND SHARE CAPITAL

1. **DEFINITIONS**

In this Scheme, (i) capitalised terms defined by inclusion in quotations and/ or parenthesis have the meanings so ascribed; (ii) all terms and words not defined in this Scheme shall have the meaning ascribed to them under the relevant Applicable Law (*as defined hereinafter*); and (iii) the following expressions shall have the meanings ascribed hereunder:

1.1 **"Act"** means the Companies Act, 2013;

1.2 **"Appointed Date"** means opening business hours of 1 January 2023 or such other date as may be decided by the Board of the Parties;

1.3 **"Applicable Law"** means any applicable central, provincial, local or other law including all applicable provisions of all: (a) constitutions, decrees, treaties, statutes, laws (including the common law), codes, notifications, rules, regulations, policies, guidelines, circulars, directions, directives, ordinances or orders of any Appropriate Authority, statutory authority, court, tribunal having jurisdiction over the Parties; (b) Permits; and (c) orders, decisions, injunctions, judgments, awards and decrees of or agreements with any Appropriate Authority having jurisdiction over the Parties as may be in force from time to time;

1.4 **"Appropriate Authority"** means:

1.4.1 the government of any jurisdiction (including any central, state, municipal or local government or any political or administrative subdivision thereof) and any department, ministry, agency, instrumentality, court, central bank, commission or other authority thereof;

1.4.2 any governmental, quasi-governmental or private body or agency lawfully exercising, or entitled to exercise, any administrative, executive, judicial, legislative, regulatory, licensing, competition, tax, importing or other governmental or quasi-governmental authority including (without limitation) and the Tribunal;

1.5 **"Board"** in relation to each of the Parties, means the board of directors of such Party, and shall include a committee of directors or any person authorized by the board of directors or such committee of directors duly constituted and authorized for the purposes of matters pertaining to this Scheme or any other matter relating thereto;

1.6 **"Demerged Business"** means all business and assets of the Demerged Company other than the Remaining Business and includes the Non-ophthalmic, OTC, generic and complex generic pharmaceutical product and trading businesses, carried out directly by the Demerged Company

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or through its subsidiaries, pertaining to: (i) development and commercialization of new/novel non-ophthalmic chemical entities directly or through development partners; (ii) generic and complex generic pharmaceutical product development including development of intellectual property (IP) for such developed products, and commercialization either by itself or through marketing partner(s); and (iii) trading of pharmaceutical, nutraceutical and other products.

1.7 "**Demerged Company**" means Famy Life Sciences Private Limited, a private company incorporated under the Companies Act, 1956 under the corporate identity number U40109GJ2008PTC109640 and having its registered office at 802, Narnarayan Complex, Opp. Navrangpura Post Office, Navrangpura, Ahmedabad – 380 009, Gujarat;

1.8 "**Demerged Undertaking**" means the entire business and undertaking of the Demerged Company pertaining to the Demerged Business, as of the Appointed Date and shall include (without limitation):

1.8.1 all the movable and immovable properties, tangible or intangible, including all computers and accessories, software, applications and related data, furniture, fixtures, vehicles, stocks, inventory, leasehold assets and other properties, real, corporeal and incorporeal, in possession or reversion, present and contingent assets (whether tangible or intangible) of whatsoever nature, cash in hand, amounts lying in the banks, investments, escrow accounts, claims, powers, authorities, allotments, approvals, consents, letters of intent, registrations, engagements, arrangements, rights, credits, titles, interests, benefits, advantages, freehold/ leasehold rights, brands, sub-letting tenancy rights, rights as lessee, leave and license permissions, goodwill, customer relationships and other intangibles, licenses, approvals, Permits, authorisations, trademarks, trade names, patents, patent rights, copyrights, and other intellectual properties and rights of any nature whatsoever including know-how, websites, portals, domain names, or any applications for the above, assignments and grants in respect thereof, right to use and avail of telephones, telex, facsimile, email, internet, leased lines and other communication facilities, connections, installations and equipment, electricity and electronic and all other services of every kind, nature and description whatsoever, provisions, funds, and benefits (including all work-in progress), of all agreements, arrangements, deposits, advances, recoverable and receivables, whether from government, semi-government, local authorities or any other Person including customers, contractors or other counter parties, etc., all earnest monies and/ or deposits, privileges, liberties, easements, advantages, benefits, exemptions, licenses, privileges and approvals of whatsoever nature and wheresoever situated, belonging to or in the ownership, power or possession or control of or vested in or granted in favour of or enjoyed by the Demerged Company in relation to and pertaining to the Demerged Business;

1.8.2 all rights and licenses, all assignments and grants thereof, clearances and registrations whether under central, state or other laws, rights (including rights/ obligations under agreement(s) entered into with various persons including independent consultants, subsidiaries/ associate companies and other shareholders of such subsidiary/ associate/ joint venture companies, contracts, applications, letters of intent, memorandum of understandings or any other contracts), investments, certifications and approvals, regulatory approvals, entitlements, other licenses, consents, tenancies, taxes, share of advance tax, tax deducted at source, tax collected at source (including but not limited to credits in respect of sales tax, value added tax, service tax, goods and services tax, and other indirect taxes), deferred tax benefits and other benefits in respect of the Demerged Business, tax losses, if any, cash balances, designated bank accounts and bank balances, deposits, advances, recoverables, receivables, easements, advantages, financial assets, treasury investments, hire purchase and lease arrangement, funds belonging to or proposed to be utilised for the Demerged Business, privileges, all other claims, rights and benefits, powers and facilities of every kind, nature and description whatsoever, utilities, provisions, funds, benefits of all agreements, contracts and arrangements and all other interests relating to the Demerged Business;

1.8.3 all Permits (more particularly set out in **Schedule I** hereto), licences, approvals, registrations, powers, authorities, allotments, consents, rights, benefits, advantages, municipal permissions, trademarks, designs, copyrights, patents and other intellectual property rights of the Demerged Company pertaining to its Demerged Business, whether registered or unregistered and powers of every kind, nature and description whatsoever,

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whether from the government bodies or otherwise, pertaining to or relating to the Demerged Business;

1.8.4 all books, records, files, papers, governance templates and process information, records of standard operating procedures, computer programmes along with their licenses, manuals and backup copies, advertising materials, and other data and records whether in physical or electronic form, directly or indirectly in connection with or relating to the Demerged Business;

1.8.5 all contracts, deeds, bonds, agreements, schemes, arrangements, distributor agreements, sub advisory arrangements and other instruments, permits, rights, entitlements, operation and maintenance contracts, memorandum of understanding, memorandum of agreements, memorandum of agreed points, letters of intent, hire and purchase agreements, tenancy rights, equipment purchase agreement, POA (power of attorney) and other agreement and/or arrangement, as amended and restated from time to time, whether executed with customers, suppliers, contractors, lessors, licensors, consultants, advisors or otherwise, which pertaining to the Demerged Business;

1.8.6 entire experience, credentials, past record and market share of the Demerged Company pertaining to the Demerged Business;

1.8.7 all designated bank accounts maintained in connection with or relating to the Demerged Business;

1.8.8 any and all earnest monies and/ or security deposits, or other entitlements in connection with or relating to the Demerged Business;

1.8.9 all reserves relating to the Demerged Business as identified by the Board of the Demerged Company;

1.8.10 all legal or other proceedings of whatsoever nature, by or against the Demerged Company pending as on the Effective Date and relating to the Demerged Business;

1.8.11 all equity interests of the Demerged Company's subsidiary, TAP Pharmaceuticals AG;

1.8.12 all employees of the Demerged Company forming part of the Demerged Undertaking (collectively, the "**Demerged Undertaking Employees**"); and

1.8.13 all debts, outstandings, obligations, liabilities present and future and contingent liabilities (including all tax liabilities) pertaining or relatable to the Demerged Business (including any past, present or future liabilities (including all applicable tax liabilities) relating to the employment or termination of the Demerged Undertaking Employees) (hereinafter referred to as "**Liabilities**"), as recorded / not recorded in the financial statements of the Demerged Company on the Appointed Date;

It is clarified that the question of whether a specified asset or liability or legal proceeding or employee pertains to or does not pertain to the Demerged Undertaking shall be decided mutually by the Board of the Parties.

1.9 "**Effective Date**" or "**coming into effect of this Scheme**" or "**upon the Scheme becoming effective**" or "**effectiveness of the Scheme**" means the date on which last of the conditions specified in Clause 17 (Conditions Precedent) of this Scheme are complied with or waived, as applicable;

1.10 "**Encumbrance**" means (i) any charge, lien (statutory or other), or mortgage, any easement, encroachment, right of way, right of first refusal or other encumbrance or security interest securing any obligation of any Person; (ii) pre-emption right, option, right to acquire, right to set off or other third party right or claim of any kind, including any restriction on use, voting, selling, assigning, pledging, hypothecating, or creating a security interest in, place in trust (voting or otherwise), receipt of income or exercise; or (iii) any equity, assignments hypothecation, title retention, restriction, power of sale or other type of preferential arrangements; or (iv) any agreement to create any of the above; the term "**Encumber**" shall be construed accordingly;

1.11 "**Income Tax Act**" means the Income-tax Act, 1961 as may be amended or supplemented from time to time and shall include any statutory replacement or re-enactment thereof, read together

with all applicable by-laws, rules, regulations, orders, ordinances, policies, directions, supplements issued thereunder;

1.12 "**Parties**" shall mean collectively the Demerged Company and the Resulting Company and "**Party**" shall mean each of them, individually;

1.13 "**Permits**" means all consents, licences, permits, certificates, permissions, authorisations, rights, clarifications, approvals, clearances, confirmations, declarations, waivers, exemptions, registrations, filings, whether governmental, statutory, regulatory or otherwise as required under Applicable Law;

1.14 "**Person**" means an individual, a partnership, a corporation, a limited liability partnership, a limited liability company, an association, a joint stock company, a trust, a joint venture, an unincorporated organization or an Appropriate Authority;

1.15 "**Record Date**" means the Appointed Date;

1.16 "**Remaining Business**" means all of the businesses, units, divisions, undertakings, and assets and liabilities of the Demerged Company engaged in development and commercialization of new/novel ophthalmic chemical entities or highly differentiated complex generic 505(b)(2) pharmaceutical products, directly or through subsidiaries;

1.17 "**Resulting Company**" means Famy Pharma Private Limited, a private company incorporated under the Act under the corporate identity number U73200GJ2022PTC135317 and having its registered office at 802, Narnarayan Complex, Opp. Navrangpura Post Office, Navrangpura, Ahmedabad – 380 009, Gujarat;

1.18 "**RoC**" means the Registrar of Companies having jurisdiction over the Parties;

1.19 "**Scheme**" means this scheme of arrangement, with or without any modification(s);

1.20 "**Taxation**" or "**Tax**" or "**Taxes**" includes all forms of taxes (direct or indirect) and statutory, governmental, state, provincial, local governmental or municipal impositions, duties, contributions, taxes under the Income Tax Act and levies and whether levied by reference to income, profits, book profits, gains, net wealth, asset values, turnover, added value or otherwise and shall further include payments in respect of or on account of tax, whether by way of deduction or collection at source, advance tax, minimum alternate tax or otherwise or attributable directly or primarily to the Parties or any other Person and all penalties, charges, costs and interest relating thereto;

1.21 "**Tax Laws**" means all Applicable Laws, acts, rules and regulations dealing with Taxes including but not limited to the income-tax, wealth tax, sales tax / value added tax, service tax, goods and services tax, excise duty, customs duty or any other levy of similar nature;

1.22 "**Tribunal**" or "**NCLT**" means the Ahmedabad bench of the National Company Law Tribunal having jurisdiction over the Parties.

2. In this Scheme, unless the context otherwise requires:

2.1.1 words denoting the singular shall include the plural and vice versa;

2.1.2 headings, sub-headings, titles, sub-titles to clauses, sub-clauses and paragraphs are for information and convenience only and shall be ignored in construing the same; and

2.1.3 the words "include" and "including" are to be construed without limitation.

3. **SHARE CAPITAL**

3.1 The share capital of the Demerged Company as on [31 October 2022] is as follows:

Particulars	INR
Authorised share capital	
15,10,000 equity shares of INR 10 each	1,51,00,000
Total	**1,51,00,000**

Particulars	INR
Issued, subscribed and paid up capital	
11,56,589 equity shares of INR 10 each	1,15,65,890
Total	**1,15,65,890**

3.2 The share capital of the Resulting Company as on [31 October 2022] is as follows:

Particulars	INR
Authorised share capital	
1,00,000 equity shares of INR 10 each	10,00,000
Total	**10,00,000**
Issued, subscribed and paid up capital	
300 equity shares of INR 10 each	3,000
Total	**3,000**

4. DATE OF TAKING EFFECT AND IMPLEMENTATION OF THIS SCHEME

4.1 This Scheme set out herein in its present form or with any modification(s) made under Clause 16 of this Scheme, shall become operative from the Effective Date and effective from the Appointed Date.

PART II

DEMERGER OF THE DEMERGED UNDERTAKING OF THE DEMERGED COMPANY INTO THE RESULTING COMPANY

5. TRANSFER AND VESTING OF THE DEMERGED UNDERTAKING OF THE DEMERGED COMPANY INTO THE RESULTING COMPANY

5.1 With effect from the Appointed Date and in accordance with the provisions of this Scheme and pursuant to Sections 230 to 232 and other applicable provisions of the Act and Section 2(19AA) of the Income Tax Act, the Demerged Undertaking shall, without any further act, instrument or deed, stand transferred to and vested in or be deemed to have been transferred to and vested in the Resulting Company on a *going concern* basis, so as to become as an from the Appointed Date, the assets, Permits, contracts, liabilities, loan, debentures, duties and obligations of the Resulting Company by virtue of operation of law, and in the manner provided in this Scheme.

This Scheme complies with the definition of "demerger" as per Section 2(19AA) and other applicable provisions of the Income Tax Act. Subject to the approval by the Board of the Parties, if any terms of this Scheme are found to be or interpreted to be inconsistent with provisions of the Income Tax Act, then this Scheme shall stand modified to be in accordance with aforesaid provisions of the Income Tax Act.

5.2 Without prejudice to the generality of the provisions of Clause 5.1 above, the manner of transfer and vesting of assets and liabilities forming part of the Demerged Undertaking under this Scheme, is as follows:

5.2.1 In respect of such of the assets and properties forming part of the Demerged Undertaking which are movable in nature (including but not limited to all intangible assets, brands, trademarks of the Demerged Undertaking, whether registered or unregistered trademarks along with all rights of commercial nature including attached goodwill, title, interest, labels and brand registrations, domain names, copyrights trademarks and all such other industrial and intellectual property rights of whatsoever nature) or are otherwise capable of transfer by delivery or possession or by endorsement, shall stand transferred upon the Scheme coming into effect and shall, *ipso facto* and without any other order to this effect, become the assets and properties of the Resulting Company without requiring any deed or instrument of conveyance for transfer of the same. The vesting pursuant to this sub-clause shall be deemed to have occurred by physical or

constructive delivery or by endorsement and delivery or by vesting and recordal, pursuant to this Scheme, as appropriate to the property being vested, and title to the property shall be deemed to have been transferred accordingly;

5.2.2 Subject to Clause 5.2.3 below, with respect to the assets forming part of the Demerged Undertaking other than those referred to in Clause 5.2.1 above, including all rights, title and interests in the agreements (including agreements for lease or license of the properties), investments in shares, mutual funds, bonds and any other securities, sundry debtors, claims from customers or otherwise, outstanding loans and advances, if any, recoverable in cash or in kind or for value to be received, bank balances and deposits, if any, with any Appropriate Authority, customers and other Persons, whether or not the same is held in the name of the Demerged Company, the same shall, without any further act, instrument or deed, be transferred to and vested in and/ or be deemed to be transferred to and vested in the Resulting Company, with effect from the Appointed Date by operation of law as transmission in favour of Resulting Company. With regard to the licenses of the properties, the Resulting Company will enter into novation agreements, if it is so required;

5.2.3 In respect of such of the assets and properties forming part of the Demerged Undertaking which are immovable in nature, whether or not included in the books of the Demerged Company, including rights, interest and easements in relation thereto, the same shall stand transferred to the Resulting Company with effect from the Appointed Date, without any act or deed or conveyance being required to be done or executed by the Demerged Company and/ or the Resulting Company;

5.2.4 Notwithstanding anything contained in this Scheme and to the extent applicable, with respect to the immovable properties comprised in the Demerged Undertaking, if any, in the nature of land and buildings situated in state other than the state of Gujarat, whether owned or leased, for the purpose of, *inter alia*, payment of stamp duty, and transfer to the Resulting Company, if the Resulting Company so decides, the Parties may execute and register or cause so to be done, separate deeds of conveyance or deeds of assignment of lease, as the case may be, in favour of the Resulting Company in respect of such immovable properties. Each of the immovable properties shall, only for the purposes of payment of stamp duty (if required under Applicable Law), be deemed to be conveyed at a value as determined by the relevant authorities in accordance with the applicable circle rates. The transfer of such immovable properties shall form an integral part of this Scheme;

5.2.5 Upon effectiveness of the Scheme and with effect from the Appointed Date, all Liabilities pertaining to the Demerged Undertaking without any further act or deed become the Liabilities of the Resulting Company and the Resulting Company shall undertake to meet, discharge and satisfy the same in terms of their respective terms and conditions, if any. For the avoidance of doubt, it is clarified that it shall not be necessary to obtain the consent of any third party or other person who is a party to any contract or arrangement by virtue of which such Liabilities have arisen in order to give effect to the provisions of this Clause;

5.2.6 The Demerged Company may, at its sole discretion but without being obliged to, give notice in such form as it may deem fit and proper, to such Persons, as the case may be, that any debt, receivable, bill, credit, loan, advance, debenture or deposit, contracts or policies relating to the Demerged Undertaking stands transferred to and vested in the Resulting Company and that appropriate modification should be made in their respective books/ records to reflect the aforesaid changes;

5.2.7 In so far as any Encumbrance in respect of Liabilities pertaining to the Demerged Undertaking is concerned, such Encumbrance shall without any further act, instrument or deed being required to be modified and, if so agreed, shall be extended to and shall operate over the assets of the Resulting Company. For the avoidance of doubt, it is hereby clarified that in so far as the assets comprising the Remaining Business are concerned, the Encumbrance, if any, over such assets relating to the Liabilities pertaining to the Demerged Undertaking is concerned, without any further act, instrument or deed being required, be released and discharged from the obligations and Encumbrances relating to the same. Further, in so far as the assets comprised in the Demerged Undertaking are concerned, the Encumbrance over such assets relating to any loans, borrowings or other

debts which are not transferred to the Resulting Company pursuant to this Scheme and which shall continue with the Demerged Company, shall without any further act or deed be released from such Encumbrance and shall no longer be available as security in relation to such liabilities;

5.2.8 Taxes, if any, paid or payable by the Demerged Company after the Appointed Date and specifically pertaining to the Demerged Undertaking and as permissible under Applicable Laws shall be treated as paid or payable by the Resulting Company and the Resulting Company shall be entitled to claim the credit, refund or adjustment for the same as may be applicable;

5.2.9 Upon the Scheme becoming effective, the Demerged Company and/ or the Resulting Company shall have the right to revise their respective financial statements, income tax returns (including filing of modified income tax return under Section 170A of the Income Tax Act), tax deducted at source (TDS) returns, tax collected at source (TCS) and other statutory returns along with prescribed forms, filings and annexures under the Tax Laws and to claim refunds, advance tax credits, credit of tax deducted at source, credit of tax collected at source, credit of foreign taxes paid/ withheld, carry forward of tax losses, credits in respect of sales tax, value added tax, service tax, goods and services tax (GST) and other indirect taxes etc., and for matters incidental thereto, if required, to give effect to the provisions of the Scheme. It is further clarified that the Resulting Company shall be entitled to claim deduction under Section 43B of the Income Tax Act in respect of unpaid liabilities transferred to it as part of the Demerged Undertaking to the extent not claimed by the Demerged Company;

5.2.10 Subject to Clause 5 and any other provisions of the Scheme, in respect of any refund, benefit, incentive, grant or subsidy in relation to or in connection with the Demerged Undertaking, the Demerged Company shall, if so required by the Resulting Company, issue notices in such form as the Resulting Company may deem fit and proper, stating that pursuant to the Tribunal having sanctioned this Scheme, the relevant refund, benefit, incentive, grant or subsidy be paid or made good to or held on account of the Resulting Company, as the person entitled thereto, to the end and intent that the right of the Demerged Company to recover or realise the same stands transferred to the Resulting Company and that appropriate entries should be passed in their respective books to record the aforesaid changes;

5.2.11 On and from the Effective Date, all cheques and other negotiable instruments and payment orders received or presented for encashment which are in the name of the Demerged Company and are in relation to or in connection with the Demerged Undertaking, shall be accepted by the bankers of the Resulting Company and credited to the account of Resulting Company, if presented by Resulting Company; and the Boards of the Parties shall mutually decide whether such cheques or other negotiable instruments pertain to Demerged Undertaking or Remaining Business.

5.2.12 Permits (more particularly set out in **Schedule I** hereto), including the benefits attached thereto of the Demerged Company, in relation to the Demerged Undertaking, shall, subject to Applicable Law, be transferred to the Resulting Company from the Appointed Date, without any further act, instrument or deed and shall be appropriately mutated or endorsed by the Appropriate Authorities concerned therewith in favour of the Resulting Company as if the same were originally given by, issued to or executed in favour of Resulting Company and the Resulting Company shall be bound by the terms, obligations and duties thereunder, and the rights and benefits under the same shall be available to the Demerged Company to carry on the operations of the Demerged Undertaking without any hindrance, whatsoever; and

5.2.13 Contracts in relation to the Demerged Undertaking, where the Demerged Company is a party, shall stand transferred to and vested in the Resulting Company pursuant to the Scheme becoming effective. The absence of any formal amendment which may be required by a third party to effect such transfer and vesting shall not affect the operation of the foregoing sentence. The Parties shall, wherever necessary, enter into and/ or execute deeds, writings, confirmations or novations to all such contracts, if necessary, in order to give formal effect to the provisions of this Clause.

5.2.14 For the avoidance of doubt, all equity interests held by the Demerged Company in its subsidiary, FamyGen Life Sciences, Inc., and any intercompany balances owed by

FamyGen Life Sciences, Inc. to the Demerged Company shall be retained by the Demerged Company.

5.3 Without prejudice to the provisions of the foregoing sub-clauses of this Clause, the Parties may execute any and all instruments or documents and do all the acts, deeds and things as may be required, including executing necessary confirmatory deeds for filing with the trademark registry and Appropriate Authorities, filing of necessary particulars and/ or modification(s) of charge, necessary applications, notices, intimations or letters with any Appropriate Authority or Person to give effect to the Scheme. The Resulting Company shall take such actions as may be necessary and permissible to get the assets, Permits and contracts forming part of the Demerged Undertaking transferred and/ or registered in its name.

6. STAFF, WORKMEN, AND EMPLOYEES

6.1 With effect from the Effective Date, the Resulting Company undertakes to engage, without any interruption in service, all employees of the Demerged Company, engaged in or in relation to the Demerged Undertaking, on the terms and conditions not less favourable than those on which they are engaged by the Demerged Company. The Resulting Company undertakes to continue to abide by any agreement/ settlement or arrangement, if any, entered into or deemed to have been entered into by the Demerged Company with any of the aforesaid employees or union representing them. The Resulting Company agrees that the services of all such employees with the Demerged Company prior to the demerger shall be taken into account for the purposes of all existing benefits to which the said employees may be eligible, including for the purpose of payment of any retrenchment compensation, gratuity and other retiral/ terminal benefits. The decision on whether or not an employee is part of Demerged Undertaking, be decided by the Demerged Company, and shall be final and binding on all concerned.

6.2 Upon the Scheme coming into effect and with effect from the Appointed Date, employment information, including personnel files (including hiring documents, existing employment contracts, and documents reflecting changes in an employee's position, compensation, or benefits), payroll records, medical documents (including documents relating to past or on-going leaves of absence, on the job injuries or illness, or fitness for work examinations), disciplinary records, supervisory files relating to the employees of the Demerged Undertaking and all forms, notifications, orders and contribution / identity cards issued by the concerned authorities relating to benefits shall be deemed to have been transferred to the Resulting Company.

6.3 The accumulated balances, if any, standing to the credit of the aforesaid employees in the existing provident fund, gratuity fund and superannuation fund of which they are members, as the case may be, will be transferred respectively to such provident fund, gratuity fund and superannuation funds nominated by the Resulting Company and/or such new provident fund, gratuity fund and superannuation fund to be established in accordance with Applicable Law and caused to be recognized by the Appropriate Authorities, by the Resulting Company. Pending the transfer as aforesaid and after effectiveness of the Scheme, the provident fund, gratuity fund and superannuation fund dues of the said employees would be continued to be deposited in the existing provident fund, gratuity fund and superannuation fund respectively of the Demerged Company by the Resulting Company. Any similar balances standing to the credit of any employees of the Demerged Company, other than the Demerged Undertaking Employees, shall be retained by the Demerged Company and, for the avoidance of doubt, the Demerged Company shall retain cash sufficient to fund any unpaid or unfunded severance pay, pension and gratuity and leave encashment with respect to any employees of the Demerged Company existing as of the Appointed Date.

7. LEGAL PROCEEDINGS

7.1 With effect from the Effective Date, all suits, actions, administrative proceedings, tribunals proceedings, show cause notices, demands and legal proceedings of whatsoever nature by or against the Demerged Company pending on the Appointed Date and, except for proceedings related solely to the Remaining Business, shall not abate or be discontinued but shall be continued and be enforced by or against the Resulting Company in the same manner and to the same extent as would or might have been continued and enforced by or against the Demerged Company. Except as otherwise provided herein, the Resulting Company shall in no event be responsible or liable in relation to any such legal or other proceedings that continue by or against the Demerged Company relating to the Remaining Business.

7.2 Without prejudice to the generality of the above clause, any suit, appeal, litigation, recovery proceedings or other proceedings of whatever nature by or against the Demerged Company relating to the Remaining Business shall not be continued, prosecuted or enforced by or against the Resulting Company.

7.3 The Resulting Company undertakes to have all legal and other proceedings initiated by or against the Demerged Company referred to in Clause 7.1 above transferred to its name as soon as is reasonably practicable after the Effective Date and to have the same continued, prosecuted and enforced by or against the Resulting Company to the exclusion of the Demerged Company on priority. The concerned Parties shall make relevant applications and take all steps as may be required in this regard. It is clarified that all income tax proceedings in relation to the Demerged Undertaking for a period prior to the Appointed Date shall be enforced against the Demerged Company and pertaining to the period after the Appointed Date shall be enforced against the Resulting Company.

7.4 Notwithstanding anything contained hereinabove, if at any time after the Effective Date, the Demerged Company is in receipt of any demand, claim, notice and/ or is impleaded as a party in any proceedings before any Appropriate Authority, in each case in relation to the Demerged Undertaking, the Demerged Company shall, in view of the transfer and vesting of the Demerged Undertaking pursuant to this Scheme, take all such steps in the proceedings before the Appropriate Authority to replace the Demerged Company with the Resulting Company. However, if the Demerged Company is unable to get the Resulting Company replaced in such proceedings, the Demerged Company shall defend the same or deal with such demand in accordance with the advice of the Resulting Company and at the cost of the Resulting Company and the latter shall reimburse to the Demerged Company all liabilities, fees, expenses and obligations incurred by the Demerged Company in respect thereof.

8. CONSIDERATION

8.1 Upon the Scheme coming into effect and in consideration of and subject to the provisions of this Scheme, the Resulting Company shall, without any further application, act, deed, consent, acts, instrument or deed, issue and allot, on a proportionate basis to each shareholder of the Demerged Company (except Mylan Pharmaceuticals Inc.) whose name is recorded in the register of members of the Demerged Company as on the Record Date, as under:

"1 (One) fully paid-up equity share of face value of Rs. 10 (Rupees Ten only) each of the Resulting Company for every 1 (One) fully paid-up equity share of Rs. 10 (Rupees Ten only) each held in the Demerged Company"

The equity shares of the Resulting Company to be issued pursuant to Clause 8.1 shall be referred to as **"Resulting Company New Equity Shares"**.

8.2 The Resulting Company New Equity Shares to be issued pursuant to Clause 8.1. above shall be subject to the provisions of the memorandum of association and articles of association of the Resulting Company, as the case may be, and shall rank *pari passu* in all respects with any existing equity shares of Resulting Company, as the case may be, after the Effective Date including with respect to dividend, bonus, right shares, voting rights and other corporate benefits attached to the equity shares of the Resulting Company.

8.3 The issue and allotment of Resulting Company New Equity Shares, is an integral part hereof and shall be deemed to have been carried out under the orders passed by the Tribunal without requiring any further act on the part of the Resulting Company or the Demerged Company or their shareholders and as if the procedure laid down under the Act and such other Applicable Laws as may be applicable were duly complied with. It is clarified that the approval of the shareholders of the Resulting Company and / or the Demerged Company to this Scheme, shall be deemed to be their consent / approval for the issue and allotment of Resulting Company New Equity Shares.

8.4 Subject to Applicable Laws, the Resulting Company New Equity Shares that are to be issued in terms of this Scheme shall be issued in physical or dematerialized form. The register of members maintained by the Resulting Company and/ or other relevant records, whether in physical or electronic form, in terms of Applicable Laws shall (as deemed necessary by the Board of the Resulting Company) be updated to reflect the issue of Resulting Company New Equity Shares in terms of this Scheme.

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8.5 Subject to 8.1 above, in the event of there being any pending share transfers, whether lodged or outstanding, of any shareholder of the Demerged Company, the Board of the Demerged Company shall be empowered in appropriate cases, prior to or even subsequent to the Effective Date, to effectuate such a transfer as if such changes in the registered holder were operative as on the Effective Date, in order to remove any difficulties arising to the transferor or transferee of shares in the Demerged Company, after effectiveness of the Scheme.

8.6 The Resulting Company New Equity Shares to be issued pursuant to this Scheme in respect of any shares of the Demerged Company which are held in abeyance under the provisions of Section 126 of the Act or otherwise shall pending allotment or settlement of dispute by order of Court or otherwise, be held in abeyance by the Resulting Company.

8.7 In the event, the Demerged Company and/ or the Resulting Company restructure their equity share capital by way of share split/ consolidation/ issue of bonus shares during the pendency of the Scheme, the share entitlement ratio, per Clause 8.1 above shall be adjusted accordingly, to consider the effect of any such corporate actions.

8.8 The Resulting Company shall, to the extent required, increase its authorized share capital in order to issue Resulting Company New Equity Shares, as per with the applicable provisions of the Act, prior to allotment of Resulting Company New Equity Shares.

9. ACCOUNTING TREATMENT

9.1 Notwithstanding anything to the contrary herein, upon this Scheme becoming effective, the Parties shall give effect to the accounting treatment in its respective books of accounts in accordance with the applicable accounting standards specified under Section 133 of the Act read with applicable rules or any other relevant or related requirement under the Act.

9.2 Accounting treatment in the books of the Demerged Company:

Upon the Scheme becoming effective and with effect from the Appointed Date, the Demerged Company shall account for demerger of the Demerged Undertaking in its books as per applicable accounting principles as laid down in the applicable Indian Accounting Standard as the case may be. It would *inter-alia* include the following:

9.2.1 The Demerged Company shall reduce from the book value of its assets, the book value of the assets pertaining to the Demerged Undertaking transferred to the Resulting Company pursuant to the Scheme.

9.2.2 The Demerged Company shall reduce from the book value of its liabilities (including provisions), the book value of the liabilities (including provisions) pertaining to the Demerged Undertaking transferred to the Resulting Company pursuant to the Scheme.

9.2.3 The difference between the book value of assets and liabilities pertaining to the Demerged Undertaking transferred to the Resulting Company shall be adjusted in appropriate reserves of the Demerged Company in accordance with the requirements of relevant Indian Accounting Standard.

9.3 Accounting treatment in the books of the Resulting Company:

Upon the Scheme becoming effective and with effect from the Appointed Date, the Resulting Company shall account for demerger of the Demerged Undertaking in its books as per applicable accounting principles as laid down under the Act and/ or any other applicable Indian Accounting Standard as the case may be. It would *inter-alia* include the following:

9.3.1 The Resulting Company shall record for assets and liabilities (including provisions) of the Demerged Undertaking transferred to and vested in the Resulting Company at their carrying values as appearing in the books of the Demerged Company in accordance with the requirements of relevant Indian Accounting Standard.

9.3.2 The Resulting Company shall credit its share capital account in its books of account with the aggregate face value of the Resulting Company New Equity Shares issued to shareholders of the Demerged Company pursuant to Clause 8.1 of this Scheme.

9.3.3 The difference, being the excess of book value of the assets over the liabilities pertaining to the Demerged Undertaking and recorded by the Resulting Company in accordance with Clause 9.3.1 above, over the amount credited as share capital as per Clause 9.3.2 above shall be credited in capital reserve.

9.3.4 The identity of the reserves shall be preserved and shall appear in the financial statements of the Resulting Company in the same form in which they appeared in the financial statements of the Demerged Company pertaining to the Demerged Undertaking.

9.3.5 In case of any differences in accounting policy between the Parties, the impact of the same till the Appointed Date will be quantified and adjusted to the reserves of the Resulting Company, to ensure that upon the coming into effect of this Scheme, the financial statements of the Resulting Company reflect the financial position on the basis of a consistent accounting policy.

9.3.6 The inter-company balances between Demerged Company and Resulting Company relating to the Demerged Undertaking, if any, in the books of accounts of Resulting Company shall stand cancelled.

PART III
GENERAL TERMS & CONDITIONS

10. REMAINING BUSINESSES

10.1 The Remaining Business of the Demerged Company shall continue to belong to and be owned and managed by the Demerged Company. The Demerged Company shall continue to be liable to perform and discharge all its liabilities and obligations in relation to the Remaining Business of the Demerged Company and the Resulting Company shall not have any liability or obligation in relation to the Remaining Business of the Demerged Company, except as set forth in this Scheme.

10.2 If the Resulting Company is in receipt of any demand, claim, notice and/ or is impleaded as a party in any proceedings before any Appropriate Authority, in each case in relation to the Remaining Business of the Demerged Company, the Resulting Company shall take all such steps in the proceedings before the Appropriate Authority to substitute the Resulting Company with the Demerged Company. However, if the Resulting Company is unable to get the Demerged Company so substituted in such proceedings, it shall defend the same or deal with such demand in accordance with the advice of the Demerged Company and at the cost of the Demerged Company and the latter shall reimburse the Resulting Company, against all all liabilities, fees, expenses and obligations incurred by the Resulting Company in respect thereof.

11. VALIDITY OF EXISTING RESOLUTIONS, ETC.

Upon the coming into effect of this Scheme, the resolutions/ power of attorney of/ executed by the Demerged Company in relation to the Demerged Undertaking as considered necessary by the Board of the Resulting Company in relation to the Demerged Undertaking, and that are valid and subsisting on the Effective Date, shall continue to be valid and subsisting and be considered as resolutions and power of attorney passed/ executed by the Resulting Company and if any such resolutions have any monetary limits approved under the provisions of the Act, or any other applicable statutory provisions, then said limits as are considered necessary by the Board of the Demerged Company, shall be added to the limits, if any, under like resolutions passed by the Resulting Company, and shall constitute the aggregate of the said limits in the Resulting Company.

12. CONDUCT OF BUSINESS UNTIL EFFECTIVE DATE

12.1 With effect from the date of approval of this Scheme by the respective Boards of the Parties and up to and including the Effective Date:

12.1.1 The Demerged Company (with respect to Demerged Undertaking) shall carry on its business with reasonable diligence and business prudence and in the same manner as it had been doing hitherto; and

12.1.2 The Resulting Company shall be entitled, pending the sanction of this Scheme, to apply to the Appropriate Authorities concerned as necessary under Applicable Law for such consents, approvals and sanctions which the Resulting Company may require to carry on the relevant business that is being transferred and vested in terms of this Scheme.

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12.2 With effect from the Appointed Date and up to and including the Effective Date:

12.2.1 the Demerged Company (with respect to the Demerged Undertaking) shall be deemed to have been carrying on and shall carry on its business and activities and shall be deemed to have held and stood possessed of and shall hold and stand possessed of the assets for and on account of, and in trust for the Resulting Company;

12.2.2 all profits or income arising or accruing to the Demerged Company (with respect to the Demerged Undertaking) and all Taxes paid thereon (including but not limited to advance tax, tax deducted or collected at source, minimum alternate tax, dividend distribution tax, securities transaction tax, taxes withheld/ paid in a foreign country, etc.) or losses arising or incurred by the Demerged Company (with respect to the Demerged Undertaking) shall, for all purposes, be treated as and deemed to be the profits or income, Taxes or Liabilities or losses, as the case may be, of the Resulting Company;

12.2.3 all loans raised and all liabilities and obligations incurred by the Demerged Company (with respect to the Demerged Undertaking) after the Appointed Date and prior to the Effective Date, shall, subject to the terms of this Scheme, be deemed to have been raised, used or incurred for and on behalf of the Resulting Company and to the extent they are outstanding on the Effective Date, shall also, without any further act or deed be and be deemed to become the debts, Liabilities, duties and obligations of the Resulting Company and any costs incurred by the Demerged Company for the aforesaid shall be duly reimbursed by the Resulting Company.

12.2.4 the Demerged Company shall maintain separate designated bank accounts to conduct the operations of the Demerged Undertaking and the Remaining Business respectively. The designated bank account(s) for conducting the operations of the Demerged Undertaking shall be operated by the employees of the Demerged Company nominated on or prior to the Appointed Date by the Board/ management of the Demerged Company;

12.2.5 the Demerged Company (with respect to the Demerged Undertaking) shall be entitled, pending the sanction of the Scheme, to apply to the Appropriate Authorities concerned as necessary under Applicable Law for such consents, approvals and sanctions which the Resulting Company may require to carry on the Demerged Business of the Demerged Company and to give effect to the Scheme.

13. PROPERTY IN TRUST

Notwithstanding anything contained in this Scheme, on or after Effective Date, until any property, asset, license, approval, permission, contract, agreement and rights and benefits arising therefrom pertaining to the Demerged Undertaking are transferred, vested, recorded, effected and/ or perfected, in the records of any Appropriate Authority, regulatory bodies, any third party, or otherwise, in favour of the Resulting Company, the Resulting Company is deemed to be authorized to enjoy the property, asset or the rights and benefits arising from the license, approval, permission, contract or agreement as if it were the owner of the property or asset or as if it were the original party to the license, approval, permission, contract or agreement. It is clarified that till entry is made in the records of the Appropriate Authorities and till such time as may be mutually agreed by the Resulting Company, the Demerged Company will continue to hold the property and/ or the asset, license, permission, approval, contract or agreement and rights and benefits arising therefrom, as the case may be, in trust for and on behalf of, the Resulting Company.

14. FACILITATION PROVISIONS

14.1 Immediately upon the Scheme being effective, the Parties shall enter into agreements as may be necessary, *inter alia* in relation to use by the Parties of office space, infrastructure facilities, information technology services, security personnel, trademarks and other intellectual property rights, legal, administrative and other services, etc. on such commercially reasonable terms and conditions that may be mutually agreed between them.

14.2 It is clarified that approval of the Scheme by the shareholders of the Parties under Sections 230 to 232 of the Act shall be deemed to have their approval under applicable provisions of the Act and that no separate approval of the of the Board or audit committee or shareholders shall be required to be sought by the Parties.

14.3 For the purpose of giving effect to the order passed under Sections 230 to 232 and other applicable provisions of the Act in respect of this Scheme by the Tribunal, the Resulting Company shall, at any time pursuant to the orders approving this Scheme, be entitled to get the recordal of the change in the legal right(s) upon demerger of the Demerged Undertaking in accordance with the provisions of Sections 230 to 232 of the Act. The Resulting Company shall always be deemed to have been authorized to execute any pleadings, applications, forms, or similar documents or filings, as may be required to remove any difficulties and facilitate and carry out any formalities or compliances as are necessary for the implementation of this Scheme. For the purpose of giving effect to the vesting order passed under Section 232 of the Act in respect of this Scheme, the Resulting Company shall be entitled to exercise all rights and privileges, and be liable to pay all taxes and charges and fulfil all its obligations, in relation to or applicable to all immovable properties, including mutation and/ or substitution of the ownership or the title to, or interest in the immovable properties which shall be made and duly recorded by the Appropriate Authority(ies) in favour of the Resulting Company pursuant to the sanction of the Scheme by the Tribunal and upon the effectiveness of this Scheme in accordance with the terms hereof, without any further act or deed to be done or executed by the Resulting Company. It is clarified that the Resulting Company shall be entitled to engage in such correspondence and make such representations, as may be necessary, for the purposes of the aforesaid mutation and/ or substitution.

15. APPLICATIONS/ PETITIONS TO THE TRIBUNAL

15.1 The Parties shall make and file all applications and petitions under Sections 230 to 232 and other applicable provisions of the Act before the Tribunal, for sanction of this Scheme under the provisions of the Act.

15.2 The Parties shall be entitled, pending the sanction of the Scheme, to apply to any Appropriate Authority, if required, under any Applicable Law for such consents and approvals which the Resulting Company may require to own the assets and/ or liabilities of the Demerged Undertaking and to carry on the business of the Demerged Undertaking.

16. MODIFICATION OR AMENDMENTS TO THIS SCHEME

16.1 The Board of the Parties may make any modifications or amendments to this Scheme at any time and for any reason whatsoever, or which may otherwise be considered necessary, desirable or appropriate. The Board of the Parties may consent to any conditions or limitations that the Tribunal or any other Appropriate Authority may impose.

16.2 For the purposes of giving effect to this Scheme, the Board of the Parties may give such directions including directions for settling any question or difficulty that may arise and such directions shall be binding on the Parties as if the same were specifically incorporated in this Scheme.

17. CONDITIONS PRECEDENT

17.1 Unless otherwise decided (or waived) by the relevant Parties, the Scheme is conditional upon and subject to the following conditions precedent:

17.1.1 approval of the Scheme by the requisite majority of each class of shareholders and such other classes of persons of the Parties, as applicable or as may be required under the Act and as may be directed by the Tribunal;

17.1.2 the sanctions and orders of the Tribunal, under Sections 230 to 232 of the Act being obtained by the Parties; and

17.1.3 certified/ authenticated copies of the orders of the Tribunal, sanctioning the Scheme, being filed with the RoC having jurisdiction over the Parties.

17.2 It is hereby clarified that submission of this Scheme to the Tribunal and to the Appropriate Authorities for their respective approvals is without prejudice to all rights, interests, titles or defences that the respective Parties may have under or pursuant to all Applicable Laws.

17.3 On the approval of this Scheme by the shareholders and such other classes of Persons of the said Parties, if any, the shareholders and classes of Persons shall also be deemed to have resolved and accorded all relevant consents under the Act or otherwise to the same extent applicable in relation to the demerger, related matters and this Scheme itself.

18. WITHDRAWAL OF THIS SCHEME AND NON-RECEIPT OF APPROVALS

18.1 The Parties, acting jointly, shall be at liberty to withdraw the Scheme, any time before the Scheme is effective.

18.2 In the event of withdrawal of the Scheme under Clause 18.1 above, no rights and liabilities whatsoever shall accrue to or be incurred *inter se* the Parties or their respective shareholders or creditors or employees or any other Person.

18.3 In the event of any of the requisite sanctions and approvals not being obtained on or before such date as may be agreed to by the Parties, this Scheme or relevant part(s) of this Scheme shall become null and void save and except in respect of any act or deed done prior thereto as is contemplated hereunder or as to any right, liability, or obligations which have arisen or accrued pursuant thereto and which shall be governed and be preserved or worked out as is specifically provided in the Scheme or as may otherwise arise in law and the Resulting Company shall bear the charges and expenses in connection with the Scheme unless otherwise mutually agreed.

19. COSTS, CHARGES AND EXPENSES

All costs, charges and expenses (including, but not limited to, any taxes and duties, registration charges, etc.) of the Parties, respectively in relation to carrying out, implementing and completing the terms and provisions of this Scheme and/ or incidental to the completion of this Scheme shall be paid by the Resulting Company.

20. SAVING OF CONCLUDED TRANSACTIONS

Nothing in this Scheme shall affect any transaction or proceedings already concluded or liabilities incurred by Demerged Company (with respect to the Demerged Undertaking), until the Appointed Date, to the end and intent that the Resulting Company, shall accept and adopt all acts, deeds and things done and executed by Demerged Company (with respect to the Demerged Undertaking) in respect thereto as done and executed on behalf of the Resulting Company.

SSS Ltd

FAMY LIFE SCIENCES PRIVATE LIMITED

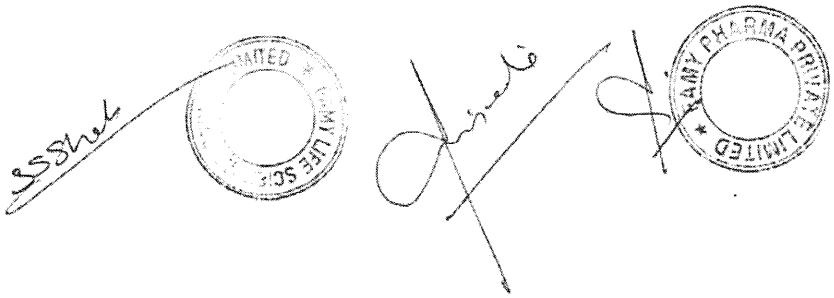
PARI CHEMA PRIVATE LIMITED

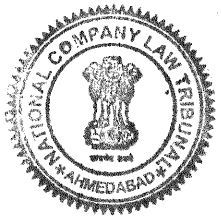
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Schedule I – List of Permits

Sr. No.	License Name/ Type	Issuing authority	License no.
1	Form C License under FSS Act, 2006	Department of Food Safety-Food Safety and Standards Authority of India (FSSAI)	10722999001573
2	Form C License under FSS Act, 2006	Department of Food Safety-Food Safety and Standards Authority of India (FSSAI)	13322002000755
3	Form C License under FSS Act, 2006	Department of Food Safety-Food Safety and Standards Authority of India (FSSAI)	13322010000921
4	Form 20B [Licence to sell, stock or exhibit or offer for sale, or distribute] by Wholesale, Drugs other than those specified in [Schedules C, C(1) And X]	Department of Drugs Control	DL-TGB-129969
5	Form 21 B [Licence to sell, stock or exhibit or offer for Sale, or Distribute] by Wholesale Drugs Specified In Schedules C and C(1) [Excluding Those Specified In Schedule X]	Department of Drugs Control	DL-TGB-129970
6	Form G License under Maharashtra Shops and Establishment	Municipal Corporation of Greater Mumbai	890616498 / A Ward / COMMERCIAL II





Annexure- B

BEFORE THE NATIONAL COMPANY LAW TRIBUNAL,
AHMEDABAD BENCH

CP (CAA)/18/NCLT/AHM/2023
IN
CA(CAA)/66/NCLT/AHM/2022

Famy Life Sciences Private Limited

...First Applicant Company/
Demerged Company/ FLSPL

Famy Pharma Private Limited

...Second Applicant Company/
Resulting Company/ FPPL

PURSHIS

By way of this purshis, the Petitioner Companies beg to produce the Schedule of Assets of the First Applicant Company i.e. Demerged Company, which may please be taken on record.

Date: 22.7.2023
Place: Ahmedabad

For **Thakkar and Pahwa**
Advocates for Applicant Companies

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FAMY PHARMA PRIVATE LIMITED

CIN: U73200GJ2022PTC135317
Telephone No.022-6289 6289
Email id: compliance@famygroup.com

CP(CAA)/18(AHM)2023

in

CA(CAA)/66(AHM)2022

Schedule of Assets

As at 1 January 2023 - the appointed date (Opening)

Name of the Transferor Company:	Famy Life Sciences Private Limited
Corporate identification number (CIN):	U40109GJ2008PTC109640
Registered office	802, Narnarayan Complex, Opp. Navrangpura Post Office,Navrangpura, Ahmedabad Ahmedabad GJ 380009 IN
Permanent Account number (PAN)	AABCF3176G
Tax deduction and collection Account Number (TAN)	MUMF06122E
GST registration number	24AABCF3176G1ZV
	07AABCF3176G1ZR
	27AABCF3176G1ZP
	23AABCF3176G1ZX
	08AABCF3176G1ZP
Bank Account details	Bank name: Bank Of Baroda, Fort, Mumbai Branch Account number: 03810200001458 IFSC Code: BARB0FORTAP Balance as on 1 January 2023 (Opening): Rs. 0.15 Lakhs
	Bank name: HDFC BANK, Fort, Mumbai Branch Account number: 00600330010437 IFSC Code: HDFC0000060 Balance as on 1 January 2023 (Opening): OD of Rs. 73.41 Lakhs
	Bank name: HDFC Bank, Fort, Mumbai Branch Account number: 00600330010540 IFSC Code: HDFC0000060 Balance as on 1 January 2023 (Opening): Rs. 0.01 Lakhs
	Bank name: HDFC Bank, Fort, Mumbai Branch Account number: 00602480031775 IFSC Code: HDFC0000060 Balance as on 1 January 2023 (Opening): Rs. 17 Lakhs

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	Bank name: Kotak Mahindra Bank, Fort, Mumbai Branch Account number: 5611195404 IFSC Code: KKBK0000957 Balance as on 1 January 2023 (Opening): Rs. 0.05 Lakhs
	Bank name: Ratnakar Bank Limited, Fort, Mumbai Branch Account number: 409001763110 IFSC Code: RATN0000070 Balance as on 1 January 2023 (Opening): Rs. 160.66 Lakhs
	Bank name: ICICI Bank Limited, Fort, Mumbai Branch Account number: 041505002643 IFSC Code: ICIC0000415 Balance as on 1 January 2023 (Opening): Rs. 1.00 Lakh
Fixed Deposit	Rs. 10,414.30 Lakhs
Other investments	Rs. 17,812.29 lakhs (including loans given - break-up as under)
Shares in Tap Pharmaceuticals AG	76.52
Loan to Tap Pharmaceuticals AG	17,735.77
Total (Rs. in Lakhs)	**17,812.29**
Immovable Properties	
Nil - The Company does not own any immovable properties	
Other Assets	**(Rs. in Lakhs)**
(i) Property plant and equipments (written down value)	
Computer	0.25
(ii) Trade Receivable	
Sundry Debtors for Trade, Services/ Expenses – Domestic	691.49
(iii) Inventories	
Finished Goods	253.41
Work in Progress	4,119.13
Total	**4,372.53**

FAMY PHARMA PRIVATE LIMITED

CIN: U73200GJ2022PTC135317
Telephone No.022-6289 6289
Email id: compliance@famygroup.com

(iv) Cash and Cash Equivalents	
Balance with Banks	10,519.76
Cash-in-hand	0.01
Total	**10,519.77**
(v) Other Financial Assets	2.47
(vi) Other Current Assets	
GST Input Credit	261.66
Other Receivable	3.75
Interest Receivable	6,841.97
Total	**7,107.38**
Employer-Employee insurance policies	
(a) LIC Single premium endowment plan - Policy no. 908264336	
(b) LIC Single premium endowment plan - Policy no. 908264335	
(c) LIC Single premium endowment plan - Policy no. 908264334	
(d) LIC Single premium endowment plan - Policy no. 908264333	
(e) LIC Single premium endowment plan - Policy no. 908264332	
(f) LIC Single premium endowment plan - Policy no. 908264573	
(g) LIC Single premium endowment plan - Policy no. 908264574	
(h) LIC Single premium endowment plan - Policy no. 908264575	
(i) LIC Single premium endowment plan - Policy no. 908264576	
(j) LIC Single premium endowment plan - Policy no. 908264577	

For Famy Pharma Private Limited

Shrenik Shah

(Authorised Signatory)

NATIONAL COMPANY LAW TRIBUNAL AHMEDABAD